Sector Underwriting Note: Logistics

ASHVA CAPITAL CREDIT POLICY MANUAL Document Ref: CPM-2024-SEC-LOG Issuing Authority: Office of the Chief Credit Officer Effective Date: November 1, 2024 Target Audience: Underwriting Officers, Credit Risk Analysts, Portfolio Managers

SECTION 18.4: SECTOR UNDERWRITING ANNEX – LOGISTICS & FREIGHT SMEs

18.4.1 Scope & Sector Definition This section governs all credit extensions—including term facilities, revolving equipment lines, and invoice discounting structures—extended to Small and Medium Enterprises (SMEs) operating within sub-sectors 4810 (Freight Air), 4841 (General Freight Trucking), and 4885 (Freight Transportation Arrangement) under the internal Ashva Capital taxonomy.

18.4.2 Portfolio Exposure Cap 1. Gross Book Limit: Total exposure to the Logistics & Freight SME sector shall not exceed 14.5% of Ashva Capital's aggregate gross loan book at any point in time. 2. Sub-tier Cap: Spot-market operators (defined as entities deriving $>30.0\%$ of annual revenue from uncontracted spot loads) are capped at 3.5% of the total gross loan book. 3. Breach Protocol: If portfolio growth causes exposure to exceed 14.5%, the Chief Risk Officer (CRO) shall issue an immediate underwriting freeze on new sector applications until exposure drops below 13.5%.

18.4.3 Sector Working Capital Cycle Benchmark Underwriters must evaluate working capital adequacy against the sector-standard baseline cycle of 68 net days, derived as follows: * Days Sales Outstanding (DSO): Baseline threshold is 75 days. Extended payment terms granted to tier-1 shippers drive elongated receivables. * Days Payables Outstanding (DPO): Baseline threshold is 15 days. Cash outflows for fuel, driver per diems, and toll accounts cannot be deferred without operational disruption. * Days Inventory Outstanding (DIO): Baseline threshold is 8 days (consisting primarily of spare tires, high-wear maintenance parts, and bulk fuel stores).

Deviation Penalty: Any applicant exhibiting a net working capital cycle exceeding 82 days must be escalated to the Sector Credit Committee (SCC) and requires a mandatory 150 basis point interest rate surcharge to compensate for liquidity Drag.

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Working Capital Cycle Calculation:
DSO (75 Days) + DIO (8 Days) - DPO (15 Days) = Baseline Working Capital Cycle (68 Net Days)
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18.4.4 Debt Service Coverage Ratio (DSCR) Requirements 1. Base DSCR Floor: The sector-specific DSCR floor for Logistics SMEs is 1.35x (calculated on a

trailing 12-month basis), superseding Ashva Capital’s standard non-sector floor of 1.25x. 2. High-Volatility Adjustments: * For fleets where $>25.0\%$ of tractor units are leased under variable-rate operating leases, the DSCR floor increases to 1.45x. * For dedicated contract carriers with fixed multi-year shipper contracts (>24 months remaining term), the DSCR floor may be reduced to 1.30x with written approval from a Senior Credit Officer (SCO).

18.4.5 Mandatory Numeric Underwriting Thresholds

All logistics loan applications must meet or exceed the five non-negotiable numerical thresholds set out in Table 18.4.A.

Table 18.4.A: Logistics Underwriting Threshold Metrics | Metric Ref | Indicator / Metric | Standard Threshold | Hard Stop Limit (Automated Reject) | | :--- | :--- | :--- | :--- | | LOG-T1 | Maximum Fleet Age | ≤ 60 months at origination | > 84 months at loan maturity | | LOG-T2 | Single-Debtor Concentration Cap | $\le 28.0\%$ of annual revenue | $> 40.0\%$ from a single off-taker | | LOG-T3 | Accounts Receivable Advance Rate | $\le 75.0\%$ of eligible receivables | $> 80.0\%$ under any facility | | LOG-T4 | Minimum Operating Power Units | ≥ 8 registered motorized units | < 5 active heavy power units | | LOG-T5 | Minimum Quick Ratio | $\ge 1.10\text{x}$ | $< 0.95\text{x}$ |

18.4.6 Seasonality Adjustments & Structuring Logistics SME cash flows exhibit pronounced seasonality, characterized by a Q4 volume surge (peak retail restocking) followed by a severe Q1 liquidity trough (January-February volume compression).

1. Q1 Stress-Testing Model: Underwriters must apply a mandatory 35.0% revenue reduction stress test to forecasted Q1 cash flows. The projected DSCR during Q1 must not fall below 1.05x under stressed conditions.
2. Seasonal Repayment Structuring: Facilities extended to general freight operators may incorporate a seasonal repayment schedule:
* Q4 (Oct–Dec): Accelerated amortization at 125.0% of base monthly principal payments.
* Q1 (Jan–Feb): Step-down amortization at 50.0% of base monthly principal payments.
* Debt Service Reserve Account (DSRA): Borrowers electing seasonal schedules must fund a DSRA equal to 3.5% of total facility principal upfront, drawn automatically to cover any Q1 debt service deficits.

18.4.7 Key Drivers of Sector Distress & Mandatory Covenants

Underwriters must assess and mitigate the two primary drivers of insolvency in the Logistics SME sector:

A. Fuel Price Surcharge (FSC) Lag & Margin Compression * Distress Mechanism: Rapid increases in diesel fuel prices erode operating margins due to a standard 30-to-45-day contractual lag in passing fuel surcharges to shippers. * Mandatory Covenant: Borrowers must demonstrate an active Fuel Surcharge Mechanism in at least 70.0% of total freight volume, or maintain a dedicated Fuel Hedging/Liquidity Buffer equal to $4,500 per power unit held in cash equivalents at Ashva Capital.

B. Anchor Client Churn & Dedicated Contract Default * Distress Mechanism: Loss of a single primary manufacturing or retail contract leaves dedicated tractor/trailer capacity unutilized while fixed debt service on assets persists. * Mandatory Covenant: If any single shipper accounts for $>28.0\%$ of gross revenue, the borrower must execute a Tripartite Notice of Assignment directing invoice settlement for that client directly into an Ashva Capital Blocked Account (Controlled Account Agreement).

18.4.8 Acceptable Collateral Types & Loan-to-Value (LTV) Caps

Only the collateral classes listed in Table 18.4.B are eligible for securing credit facilities within this sector.

Table 18.4.B: Approved Collateral & Valuation Standards | Collateral Code | Asset Description | Max LTV / Advance Rate | Valuation Standard / Requirement | | :--- | :--- | :--- | :--- | | COL-LOG-01 | Class 8 Heavy Power Units (Tractors) | 65.0% of Orderly Liquidation Value (OLV) | Desktop appraisal by Ashva-approved valuer (e.g., FleetMetrics Inc.) | | COL-LOG-02 | Dry Vans, Refrigerated Trailers ("Reefers") | 70.0% of Orderly Liquidation Value (OLV) | Mandatory maintenance log audit; Reefer engine hours must be $<8,000$ hours | | COL-LOG-03 | Eligible Accounts Receivable | 75.0% of face value | Invoices under 60 days aging; excludes cross-aged accounts $>15.0\%$ past due | | COL-LOG-04 | Logistics Real Estate (Depots / Warehouses) | 70.0% of Fair Market Value (FMV) | Full RICS/MAI certified appraisal; Tier-1 environmental audit required |

Unacceptable Collateral: Specialized or custom-built rigging gear, intermodal chassis >120 months old, and unassigned spot-market receivables are strictly ineligible for collateral margin calculations.

18.4.9 Exceptions & Authority Matrix 1. Minor Deviations: Deviations from standard policy limits (e.g., DSCR between 1.28x and 1.34x, or Fleet Age up to 66 months) require joint written approval from the Lead Sector Underwriter and the Head of Commercial Credit. 2. Major Deviations: Any facility breaching Hard Stop Limits (Table 18.4.A) or requiring an LTV limit increase must be submitted to the Executive Credit Risk Committee (ECRC) chaired by Chief Credit Officer Vikram Desai. No underwriting officer possesses individual delegated authority to override Hard Stop Limits.